

SECTION A**QUESTION 1**

1. Full disclosure
2. Historical cost
3. Consistency
4. Expense recognition
5. Economic entity

QUESTION 2

Two (2) methods of depreciation expenses calculation:

1. Straight-line
2. Reducing balance

SECTION B**QUESTION 1**

(a) i)

Katering Malaya
Bank Reconciliation Statement
As at 30 June 2010

	RM	RM
Cash balance per bank statement		8,820
(+) Deposits in transit:		
Rental	4,500	
Sundram	<u>1,537</u>	<u>6,037</u>
		14,857
(-) Outstanding cheques:		
No. 354782	(1,255)	
No. 354786	<u>(954)</u>	<u>(2,209)</u>
Adjusted cash balance per bank		<u>12,648</u>
Cash balance per books		12,400
(+) Commission Revenue	2,655	
Error - Accounts Payable (1,865 – 1,658)	<u>207</u>	<u>2,862</u>
		15,262
(-) Insurance expense	(800)	
Bank charges	(25)	
Nonsufficient cheque – Accounts receivable	<u>(1,789)</u>	<u>(2,614)</u>
Adjusted cash balance per books		<u>12,648</u>

ii)

2009 Jun 30	Dr Bank Cr Commission Revenue	2,655	2,655
	Dr Bank Cr Accounts payable – Demo Maju	207	207
	Dr Insurance expense Cr Bank	800	800
	Dr Bank charges Cr Bank	25	25
	Dr Accounts receivable – Seri Kejora Cr Bank	1,789	1,789

(b) (i) FIFO

Date	Purchases	Cost of goods sold	Balance
May 1			50 x 6 = 300
5		20 x 6 = 120	30 x 6 = 180
8	45 x 7 = 315		30 x 6 = 180 45 x 7 = <u>315</u> 495
15		22 x 6 = 132	8 x 6 = 48 45 x 7 = <u>315</u> 363
20	40 x 8 = 320		8 x 6 = 48 45 x 7 = 315 40 x 8 = <u>320</u> 683
24		8 x 6 = 48 27 x 7 = <u>189</u> 237	18 X 7 = 126 40 X 8 = <u>320</u> 446
		Cost of goods sold = RM489	Cost of ending inventory = RM 446

(ii) Cost of Goods Available for Sale

50 @ RM6	= RM 300
45 @ RM 7	= RM 315
40 @ RM 8	= <u>RM 320</u>
<u>135</u>	<u>RM 935</u>

$$\begin{aligned}\text{Weighted average cost per unit} &= \frac{\text{Cost of Goods Available for Sale}}{\text{Number of units available}} \\ &= \frac{\text{RM935}}{135} \\ &= \text{RM 6.93 per unit}\end{aligned}$$

$$\begin{aligned}\text{Ending inventory unit} &= \text{Number of units available} - \text{Sales unit} \\ &= 135 - 77 \\ &= 58 \text{ unit}\end{aligned}$$

$$\begin{aligned}\text{Cost of ending inventory} &= \text{RM 6.93} \times 58 \text{ unit} \\ &= \text{RM 401.94}\end{aligned}$$

QUESTION 2

(i)

2009	Dr Equipment (new)	47,800	
	Accumulated depreciation – equipment	28,224	
	Loss on disposal	2,076	
	Cr Equipment (old)		36,000
	Cash (47,800 - 5,700)		42,100
	(To record exchange of old equipment for new equipment)		

* The depreciation of old equipment for the current year is excluded because the annual basis is used.

$$\begin{aligned}
 \text{Gain / loss on disposal} &= \text{Trade-in allowance} - (\text{Cost} - \text{Accumulated depreciation}) \\
 &= 5,700 - (36,000 - 28,224) \\
 &= (\text{RM}2,076) \rightarrow \text{Loss on disposal}
 \end{aligned}$$

$$\begin{aligned}
 \text{(ii) Cost of remaining old equipment} &= \text{RM}135,620 - \text{RM}36,000 \\
 &= \text{RM}99,620
 \end{aligned}$$

Thus, depreciation expense – equipment for 2009:

$$\text{Depreciation expense of the remaining old equipment} = 99,620 \times 40\% = \text{RM}39,848$$

$$\begin{aligned}
 + \text{Depreciation expense of new equipment} &= 47,800 \times 40\% = \text{RM}19,120 \\
 &\underline{\text{RM}58,968}
 \end{aligned}$$

2009 Dis 31	Dr Depreciation expense – equipment	58,968	
	Cr Accumulated depreciation – equipment		58,968
	(To record depreciation expenses for 2009)		

QUESTION 3

Date	Account titles and explanations	Debit	Credit
2009 i) Jan 1	Dr Bank Cr Loan Notes Payable, 12% (To record loan from Bank Regional and issuance of 12%, 3-year note to Bank United)	65,000	40,000 25,000
ii) Dis 31	Dr Interest Expense (40,000 x 10% + 25,000 x 12%) Cr. Interest Payable (To record interest on loan and notes payable)	7,000	7,000
2010 iii) Jan 1	Dr Interest Payable Cr Bank (To record payment of accrued interest)	7,000	7,000
2012 iv) Jan 1	Dr Interest Payable (25,000 x 12%) Notes Payable 12% Cr. Bank (To record payment of Bank United interest-bearing note and accrued interest at maturity)	3,000 25,000	28,000